SMITH POINT CAPITAL

ROY’26 PRIORITIES

INVESTMENT TEAM PLAN

OCT’26 → SPC

ROY'26 INVESTMENT TEAM PRIORITIES

Due to our recent flurry of deal activity and status of Fund II, below are our top priorities through YE 2026 -

PRIORITY	SCOPE	STATUS / UPDATE	NEXT STEP
★ 1 **Thematic work** **Brooke, Lorenzo, Sewon, Lilly**	▪ Market mapping, expert calls, network calls; 1-pager category thesis per theme outlined in this deck ▪ *Deep dives:* Energy; Inference & enterprise AI production stack; Autonomous factories / AI-native industrial production ▪ *Shallower dives:* Biopharma	▪ Theme categories discussed week of 10/12 between Lorenzo, Brooke, Sewon, Lilly ▪ Discuss week of 10/19 with Burke and Chris to confirm themes and priorities	**Finalize themes and deep vs. shallow dives; present takeaways at Dec '26 offsite (NYC)**
★ 2 **Investor relationships** **GPs own relationships; all help support**	▪ Build relationships with ~7 firms whose portcos can feed our Series B–D pipeline ▪ *Purpose:* create many Accel and/or Avra-like relationships that help us get into rounds (e.g., Code Metal, AssemblyAI; Roboflow)	▪ Shortlist of VCs narrowed down week of 10/12 between Lorenzo, Brooke, Sewon, Lilly ▪ Discuss week of 10/19 with Burke and Chris to confirm VCs	**Finalize shortlist and owners; target first meetings Q4'26 / Q1'27**
3 **Mid-term pipeline sourcing** **All**	▪ Continue to source and meet companies that can be actionable starting Q1'27	▪ Meeting with companies & conducting research to expand list of high-conviction H1'27 names ▪ Sourcing through AI sourcing initiatives; bi-weekly pipeline calls and top 30 quarterly pipeline reviews between Lorenzo, Brooke, Sewon, Lilly to discuss net-new names	**Continue to build H1'27 actionable pipeline list**
4 **CMU program** **All**	▪ Smith Point CMU & Pittsburgh founder cohort: small Seed / Series A checks as a toehold for Series B	▪ Proposal presented at Sept. offsite; Cooley consulted 10/6 ▪ Fund structure options discussed with John on 10/19	**Work to be in a position to float CMU program idea at Nov'26 AGM for initial LPAC feedback**

★ ***To be discussed in more detail on following pages***

1 THEMATIC WORK

We propose conducting ~3 deep dives and one lighter-touch dive, with key takeaways presented at the Dec'26 offsite in NYC.

DEEP DIVE

Energy

SCOPE

Grid software (planning, interconnection, flexible load), data center power, select hardware plays, nuclear

WORK TO DO

- Revise priority subsectors
- Add expert calls on top of PG&E, SCE calls
- Develop POV on software-only vs. hardware-inclusive plays

EXAMPLE COMPANIES

ThinkLabs, GridCARE, Emerald AI, Verse

OUTPUT Full deep dive deck (~15 pages)

DEEP DIVE

Inference & enterprise AI production stack

SCOPE

Layers between a trained model and a working enterprise deployment: data and storage, serving, customization

WORK TO DO

- Map earlier-stage targets vs. scaled leaders
- Dig into impact of the open-source shift

EXAMPLE COMPANIES

DDN, Gimlet Labs, Baseten, Applied Compute, Sail Research

OUTPUT Full deep dive deck (~15 pages)

DEEP DIVE

Autonomous factories / AI-native industrial

SCOPE

Companies that run their own plants on in-house software and robotics, from fabrication and precision parts to metals and refining

WORK TO DO

- Landscape the category and business models
- Assess software margins vs. capex intensity

EXAMPLE COMPANIES

1872, Nox Metals, Mariana Minerals, Machina Labs, Terrafirma

OUTPUT Full deep dive deck (~15 pages)

SHALLOWER DIVE

Biopharma

SCOPE

AI for drug discovery and materials science, refining work around Edison Scientific and Radical AI

WORK TO DO

- Identify which spaces have the biggest tailwinds
- Test where AI-for-science is investable as enterprise software

EXAMPLE COMPANIES

Edison Scientific, Radical AI, Chai Discovery

OUTPUT Shorter ~5-page memo to refine work

THIS WEEK
1-pager category thesis per theme

→

WEEK OF OCT 19
Confirm themes and priorities with Burke and Chris

→

LATE OCT – NOV
Desktop research, market maps, expert and network calls

→

EARLY DEC
Produce outputs: deep dive decks and shallower dive memos

→

DEC OFFSITE, NYC
Present key takeaways

2 INVESTOR RELATIONSHIPS

Below is our proposed shortlist of VC firms to build GP-level relationships with starting now -

FIRM	WHERE IT STANDS TODAY	OWNER	PORTCOS OF INTEREST	FIRM OVERVIEW & RATIONALE
avra SF	**WARM** GP connectivity between Anu and Keith/Chris today; investors in Roboflow as well	**Keith & Chris**	Anterior, Chai Discovery, Elicit, Medra, Salient	▪ Anu's "YC for Growth" runs a cohort program for ~10 post-Series A companies 2x a year, aligning with SPC's Series B–D targets and providing early CEO access 12+ months pre-raise. **A tight relationship could also inform our proposed SPC-CMU cohort program**
Abstract SF	**TEAM-LEVEL** *Non-GP level today*	**Burke**	Applied Compute, Revel, Aaru, Periodic Labs, XDOF, Sail Research	▪ ~$1.8B AUM firm investing from pre-seed to Series A; SPC aims to become a trusted later-stage partner for its portfolio companies as they approach Series B
Spark Capital SF / NY	**TEAM-LEVEL** *Non-GP level today*	**Burke**	Airspace Intelligence, Antithesis, Edison Scientific	▪ Series A-to-growth firm and Anthropic's first institutional investor, with a concentrated AI infra portfolio aligned with our inference thesis; interesting portcos for good deal flow
8VC SF	**TEAM-LEVEL** *Non-GP level today*	**Burke**	Bedrock Robotics, Edra, XDOF, Daptic, Fabrion, Gallatin AI	▪ $1.5B Fund VII (Jul '26) focused on seed-to-Series A industrial, logistics, defense and regulated software, with numerous incubated companies and strong alignment with our autonomous factories theme; potential source of Series B/C opportunities requiring $20M+ B-D rounds
Bessemer NY	**TEAM-LEVEL** *Non-GP level today*	**Chris**	Verse, ChipAgents, Dominion Dynamics, Unlimited Technologies	▪ Raised $5.75B in Sep '26, including $1.75B for seed and early-stage investments, with exposure across all four SPC themes; potential to partner on B–D rounds alongside its growth fund
General Catalyst NY / SF	**TEAM-LEVEL** *Non-GP level today*	**Chris**	Emerald AI, Chai Discovery, Lila Sciences, PhysicsX, Standard Bots	▪ $40B+ AUM seed-to-growth platform that raised $8B in Oct '24 and is reportedly exploring ~$10B more; portfolio overlaps our energy, physical AI and biopharma themes, with growth funds that could partner with us on B–D rounds
Greycroft NY	**COLD** No relationships today	**Chris**	Mariana Minerals, Peer AI, Recursive, Core Automation	▪ NY-based seed-to-growth platform (~$4.4B AUM) with a smaller-check growth fund, creating opportunities for SPC to lead Series B–C rounds in relevant portcos
Ribbit SF	**COLD** No relationships today	**Burke**	Artificial Intelligence Underwriting Company, Etched, Mach Industries	▪ Fintech-native firm (Coinbase, Robinhood, Nubank) expanding into enterprise AI (Cognition, Decagon, Listen Labs) and infrastructure across energy, compute, defense and physical AI, creating overlap with SPC's themes and potential for Series B–D partnerships

SMITH POINT CAPITAL

PROPOSED THEMES

ENERGY & THE AI POWER BOTTLENECK

AI data centers are making electricity the binding constraint on AI growth, with US data center demand projected to rise from 192 TWh in 2024 to about 650 TWh by 2030. The grid cannot supply this on normal timelines, because new connections often take years and large transformers take 2.5+ years, so developers need faster power and more flexible load. This creates investable opportunities across the electricity chain: making firm power and its fuel, moving it with better equipment and software, storing it, and selling flexible capacity. Durable companies may pair hardware with software, because the scarce inputs are physical equipment and grid access, and controlling them delivers speed that software-only vendors cannot.

OVERVIEW

- **Demand:** per LBNL, US data centers used 192 TWh (4.7% of US electricity) in 2024 and could use 649 TWh (11.8%) by 2030; per IEA, global demand roughly doubles to about 950 TWh by 2030
- **How data centers get power:** from the grid after an interconnection study, or increasingly from on-site generation; per Rabobank, over 130 GW of on-site power is proposed for US data centers, over 80% gas
- **Constraints faced by developers today:**
  - **Grid access:** utilities must study each large new load, and connections take years
  - **Equipment:** per Wood Mackenzie, large transformers took about 128 weeks to arrive in 2025; per GE Vernova, a heavy-duty gas turbine ordered today arrives in 2031
  - **Cost of speed:** on-site power costs $100–165/MWh versus $90–95 for grid power (per Rabobank)
  - **Firm clean supply:** new nuclear is years from delivering power; the first advanced-reactor startups reached criticality only in 2026

PRELIMINARY THESIS

- **Power is becoming the binding constraint on AI buildout, and buyers pay for speed.** Per LBNL, US data center demand roughly triples by 2030 while equipment and connections take years; developers already pay $100–165/MWh for on-site power versus $90–95 on the grid (per Rabobank).
- **Software can add capacity faster than hardware can be built.** Tools that find spare grid capacity, speed up utility studies, or let data centers flex their load can connect projects in months, not years (GridCARE claims 400 MW unlocked with PGE).
- **Durable companies may pair software with hardware or control of scarce supply.** Transformers, turbines, batteries, and interconnection slots are the scarce inputs, so owning them offers speed software-only vendors cannot (e.g., Base Power makes batteries and runs the software and retail power).
- **Potential moats:** utility data and trust (grid models improve with each grid studied); regulatory standing (e.g., flexible-interconnection programs); secured manufacturing and supply slots.
- **Software-only vs. hardware-inclusive:** software needs less capital but faces long utility sales cycles; hardware needs more capital and execution risk but sells into urgent demand.

SECTOR BREAKDOWN

LAYER	INCUMBENTS	WHAT UPSTARTS DO THAT INCUMBENTS DO NOT	STARTUPS & LATEST VALUATION (BOLD = ADDRESSABLE)
1. Firm power & fuel *Make | Buyer: hyperscalers* Round-the-clock generation and the fuel it needs	GE Vernova, Siemens Energy (turbines); Bloom Energy, Oklo, X-energy (public)	▪ Gas turbine slots are booked into 2031 and large reactors are slow to build; new players build small, factory-made reactors sited at data centers ▪ The US outsourced most enrichment after the Cold War; new players rebuild domestic enrichment	Valar Atomics: $6B (Series B) General Matter: ~$2.5B est. (Mar 2026 round) Antares: $470M raised Aalo Atomics: >$300M raised
2. Power equipment *Move | Buyer: developers* Transformers and power conversion	GE Vernova, Siemens Energy, Hitachi Energy, ABB, Eaton	▪ Large transformers and switchgear take years to deliver, and each does one job ▪ Solid-state transformers use power electronics to replace several pieces of equipment with one unit that moves power both ways	**Heron Power:** $140M (Series B) **DG Matrix:** $60M (Series A) **Amperesand:** $80M (Series A)
3. Grid software *Move | Buyer: utilities* Planning and running the grid	Utilities' in-house tools; Schneider Electric, Siemens, GE Vernova	▪ Utility planning studies take months; developers wait years in interconnection queues ▪ New players run physics-informed AI models that finish studies in minutes and find spare capacity on the existing grid	**ThinkLabs AI:** $28M (Series A) **GridCARE:** $64M (Series A)
4. Storage *Store | Buyer: developers* Holds power until needed	Tesla, Fluence, Wärtsilä	▪ Lithium-ion batteries cover only a few hours; new players target longer durations (iron-air, sodium-ion) ▪ Storage also flattens the sharp load swings of data centers	Form Energy: $2.5B (Series G) Peak Energy: n/d (Jun 2026 round)
5. Flexibility & retail *Sell | Buyer: developers* Sells capacity and power	Utilities and retail electricity providers	▪ Data centers are treated as fixed loads; new players make them flex power use when the grid is stressed, so projects connect sooner ▪ Neo-utilities own the customer and the battery, buying cheap power and selling at peaks	Base Power: $13B (Series D) **Emerald AI:** $1.05B (Series A)

SIZE Opportunity for startups: ~$550B a year of global grid investment, >$100B in storage, and >$80B in nuclear (per IEA); 130+ GW of on-site power proposed for US data centers (per Rabobank); ~$40B a year of added US data center electricity by 2030 (per LBNL)

INFERENCE & THE ENTERPRISE AI PRODUCTION STACK

Inference - the process of running a trained AI model on new input to produce an output, now makes up about two-thirds of AI computing and recurs with every request, unlike one-time training. Open-weight models, which companies can run and retrain themselves, move the work of operating models from a few labs to enterprises and their vendors. Large enterprises therefore now need cheaper, faster serving, memory systems that keep context close to the chip, and models tuned to their workflows, creating investable opportunities across chips, networking, memory, serving software, and customization. Durable companies may own several of these layers, including hardware, because inference performance depends on how chips, memory, networks, and software work together.

OVERVIEW

- **Inference vs. training:** training is the one-time (or infrequent) process of teaching the model from large datasets (weeks of GPU time). Inference is each later use of the model to answer a request, so its cost recurs with usage.
- **Open source:** open-weight models publish their parameters (e.g., DeepSeek, Qwen), so companies or vendors can run and retrain them instead of calling a lab's API. They are now a majority of tokens on developer gateways (~69% of OpenRouter volume in a recent week, per Theory Ventures) and growing.
- **Constraints faced by enterprises today:**
  - **Memory bandwidth:** each token requires reading the model's parameters (often hundreds of gigabytes) from memory for little arithmetic, so chips often wait for data
  - **Context memory:** the conversation so far (the KV cache) grows with prompt length and users, outgrows GPU memory, and must be moved to slower storage or recomputed
  - **Links and phases:** large models are split across many chips that must constantly exchange data, so the connections set the speed. Reading the prompt needs raw computation, but writing the answer requires fast memory, so hardware tuned for one sits partly idle during the other.

PRELIMINARY THESIS

- **Inference is becoming the largest and fastest-growing cost of AI:** Per Deloitte, it is already about two-thirds of AI compute in 2026; per Gartner, cost per token falls over 90% by 2030 but total spend still rises because agents use far more tokens per task.
- **Open weights shift demand to infrastructure:** Enterprises or their vendors must buy and tune chips, networking, memory, and serving software and can retrain models on their own data; because models become interchangeable, value moves to layers that do not depend on one model.
- **Durable companies will likely own two or three adjacent layers:** Speed depends on how data moves between memory, chips, and networks, so owning adjacent layers allows tuning them together, which single-layer vendors cannot.
- **Potential moats:** workload data (scheduling and caching improve with more varied requests); developer lock-in (software written against a platform, as with NVIDIA's CUDA); secured supply (contracted power, chips, and capacity).
- **Hardware and vertical integration can be durable advantages:** Hardware needs more capital and carries execution risk, but it allows software tuned to chips, memory, and networking the company controls, and secures scarce supply.

SECTOR BREAKDOWN

LAYER	INCUMBENTS	AREAS OF OPPORTUNITY FOR NEW PLAYERS	STARTUPS & LATEST VALUATION
1. Compute *Make* Chips, and the data centers and clouds that house them	NVIDIA GPUs; Google TPUs; CoreWeave	▪ GPUs are general-purpose and wait on memory when generating tokens; new chip startups design for inference ▪ Hyperscalers could not add capacity fast enough; neoclouds build power, campus, and cloud together and specifically designed for AI workloads	Etched: $21B (Series D) SambaNova: $11B (Series F) Crusoe: $30.9B (Series F) Fluidstack: $18B (2026 round)
2. Networking *Move* Links that connect chips, racks, and data centers	NVIDIA, Broadcom, Cisco, Arista	▪ Copper links between chips limit speed and use heavy power as models span more chips ▪ New players send data between chips as light instead of over copper (optical links, lasers, microLEDs)	Ayar Labs: $3.75B (Series E) Lightmatter: $4.4B (Series D) **Xscape Photonics:** $81M (Series A) **Avicena:** $65M (Series B)
3. Memory & storage *Store* Holds model parameters and context (KV cache)	**DDN;** NetApp; Pure Storage	▪ Incumbent storage was built to feed training data, not to hold the KV cache, which is large, per-session, and reused ▪ New players treat context as its own layer and reuse it across requests instead of recomputing it	VAST Data: $30B (Series F) **Tensormesh:** $24.5M (seed)
4. Serving & orchestration *Sell* Routes requests to hardware and sells tokens	AWS, Microsoft, Google; OpenAI and Anthropic	▪ Serving was built for fast chat replies on one type of chip ▪ New players split each request into its steps and route each to the best-suited hardware, and run slower, cheaper queues for long-running agents	Fireworks: $17.5B (Series D) Baseten: $13B (Series F) Together AI: $7.5B (reported) **Gimlet Labs:** $3B (Series B) **Sail Research:** $450M (Seed + Series A) **Simplismart:** $7M (Series A)
5. Customization *Adapt* Further training on a company's data and success criteria	NVIDIA ($26B open-model plan)	▪ General models are trained for broad use ▪ New players train models on a company's own workflows and keep improving them from production use	**Applied Compute**: $1.3B (Series B) **Adaptive ML:** $20M (seed) **Deep Cogito:** $43M (Series A)

SIZE AI inference market is about $106B in 2025 and $255B by 2030, including chips and networking (per MarketsandMarkets); the top four inference platforms report ~$3B combined annualized revenue

AI NATIVE INDUSTRIAL PRODUCTION

US manufacturers face a labor gap of up to 3.8 million workers by 2033 and supply chains where the top refining country holds a 72% average share of key energy minerals, while defense and AI buildout raise demand. This creates investable opportunities in producers that own the plant across metals supply, fabrication, precision parts, and materials discovery. Durable companies may be vertically integrated with hardware, because owning the full loop of sensing, software, and production captures data and speed that software sold into other companies' factories may not.

OVERVIEW

- **What they are:** companies that build and run their own production capacity, using in-house AI and software to quote, schedule, and control robots and machines, and that sell parts or material instead of or in addition to just software
- **Two approaches:** owner-operators build and run plants and sell parts or material (1872, Nox Metals, Mariana Minerals); software-first platforms sell AI that learns from factory video and coordinates machines and workers in plants owned by others (Arda)
- **Constraints faced by US producers today:**
  - **Labor:** per Deloitte and the Manufacturing Institute, US manufacturing may need up to 3.8M more workers by 2033, and 1.9M of those jobs could go unfilled
  - **Automation:** per IFR, the US installed 34,200 industrial robots in 2024 versus 295,000 in China
  - **Inputs:** per IEA, the top refiner holds a 72% average share of key energy minerals, and China about 85% of rare earth refining

PRELIMINARY THESIS

- **Demand for domestic production is structural:** The labor gap, concentrated supply chains, and defense and AI buildout all pull on the same capacity in a $2.96T sector (per NAM) with few automated plants.
- **Owning the plant turns production into proprietary data:** Data that exists only by running physical production is hard for software vendors to copy, and each part made improves quoting, scheduling, and quality control (e.g., 1872's Factory OS).
- **Potential moats:** process data from real production; secured capacity and permits; customer qualification (aerospace and defense approvals take years).
- **Hardware-inclusive producers should be in scope:** They need more capital and start with lower margins, but what matters is the size of the system being compounded, not early gross margin. We should look for companies with mission-critical output and a software loop.

SECTOR BREAKDOWN

LAYER	INCUMBENTS	WHAT UPSTARTS DO THAT INCUMBENTS DO NOT	STARTUPS & LATEST VALUATION (BOLD = ADDRESSABLE)
1. Metals supply *Buyer: manufacturers* Mining, refining, and cut-to-size metal	BHP and other large miners; China-based refiners; metals service centers and brokers	▪ Refining is concentrated (top refiner holds 72% on average, per IEA); brokers take 3–5 days to quote metal ▪ New players run mines and cutting lines with in-house software to rebuild US supply	**Mariana Minerals**: $1.5B (Series B) **Nox Metals:** $11.5M (Seed)
2. Fabrication *Buyer: defense, builders* Forming, welding, and assembling structures	Job shops, contract manufacturers; robot makers (Fanuc, ABB)	▪ Heavy fabrication relies on skilled manual labor and dedicated tooling, with lead times of months ▪ New players run robotic cells under one software layer, cutting lead times to weeks or days	**Machina Labs:** $124M (Series C) **Senra Systems:** $65M (Series B) **1872:** $15M (Seed) **SendCutSend:** $1B (Series B)
3. Precision parts *Buyer: aerospace, defense* Machined and 3D-printed metal parts	Precision Castparts, Proto Labs, Xometry	▪ Precision parts depend on machinists and fixed lines that cannot scale quickly to defense demand ▪ New players build factories where software plans and runs machining or metal printing	Hadrian: ~$1.6B (Series C) Divergent: $2.3B (Series E) **Freeform:** $67M (Series B)
4. Materials R&D *Buyer: aerospace, energy* Labs where AI and robots test new materials	Corporate R&D and national labs	▪ Materials R&D moves at the pace of manual experiments ▪ New players close the loop: AI proposes, robots make and test, results train the next round	Periodic Labs: $300M (Seed) CuspAI: $450M (Series B) **Radical AI:** $55M (Seed)
5. Factory AI *Buyer: manufacturers* AI that runs plants owned by others	Siemens, Rockwell, and other automation and MES vendors	▪ Plants run on decades-old control and execution software that does not learn from the floor ▪ New players train models on factory video to teach robots tasks and coordinate machines and workers	**Arda:** ~$700M (reported; $70M raise) Mind Robotics: >$1B raised (Series A+)

SIZE US opportunity for startups: ~$1.3T a year in manufacturing worker earnings (12.6M workers at ~$107K, per NAM); ~$200B in US metals distribution (per First Research); $6.5T of production outside China exposed to rare earth supply cuts (per IEA)